

Buy. After price leaves the corrective phase, then buy the stock. To gauge the breakout point, draw a down-sloping trendline along the minor highs in the corrective phase. Once price *closes* above the trendline, then buy the stock.

A more conservative approach is to buy when price closes above the peak in the first leg or corrective phase (the higher of the two), instead of a trendline pierce.

As the stock approaches the target price, do not be too quick to sell. If the stock is on a roll, go with the flow and wait for price to start declining. Obviously, if price pauses near but below the target price, then it might be wise to sell. Often a limit order set at the full height target works well (at least for me, in bull markets).

Support/resistance. After the measured move ends, price will retrace, sometimes returning all the way down to the corrective phase before meeting any meaningful support. It may pause at the top of the corrective phase or drop to the bottom of it. Sometimes, price just sails right on through. Whatever the case, be aware that if you do not sell near the target price and decide to hold on, you might lose all of your gains.

Experience

I have used the measured move up for both buying and selling.

When buying a stock, I'll see a stock make a strong swing higher, forming the first leg of what I believe will be a measured move up. Price retraces in the corrective phase, and on the exit, I'm there with a buy order. I've entered trades this way a number of times.

I calculate the full height target. Here's where I go astray. Instead of placing a sell order at the target, I sell before price meets the target. In Englehard (EC), the stock never hit the target and I was lucky to get out when I did. The stock dropped dramatically after I sold. In Genworth Financial (GNW), the stock climbed to the target and then dropped in half. Wow.

In Standard Products (SPD), I bought after the corrective phase ended and rode the stock higher, but sold short of the target. I missed a buyout offer for the company by a month. In a similar case, Hawaiian Electric (HE), I